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COMMENTARY

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Marketing's contribution to consumer welfare: A research agenda

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Abstract

The marketing discipline emerged in the early 20th century in response to the needs for new institutions and processes for delivering goods and services to an increasingly urbanized and diverse market. Evidence suggests that the value delivery system(s) that have emerged have substantially improved consumer welfare. This history and success of the marketing discipline is frequently overlooked in discussions of markets and marketing. This paper suggests the need to place discussion of the role of marketing and its contributions to social welfare in an appropriate historical context. It also draws attention to the need for research on the complementary roles of markets and governments and the contributions, and diminutions, of each to consumer welfare. Finally, the paper suggests that marketing's unique contribution to improving consumer welfare and the quality of life resides in its unique perspective on value delivery systems.

KEYWORDS

affluence, consumer welfare, market efficiency, value delivery

This paper is based on a presentation originally delivered at the 2021 AMA—Sheth Marketing Doctoral Consortium at Indiana University as well as several subsequent presentations.

1 | INTRODUCTION

Few institutions in society are as pervasive as markets. Markets and marketing actions contribute to consumer welfare by facilitating the most important activities of a society: providing goods and services to its members. Nevertheless, the positive contributions of markets and marketing to consumer welfare are generally underappreciated. It is not difficult to find critics of marketing. Indeed, criticism of many of the activities in which marketers engage have been the subject of criticism since at least Aristotle, who called traders "useless profiteering parasites." (Winsor & Stewart, 2018). The marketing discipline itself has done a poor job of communicating its contributions to consumer welfare because much of its literature and practice focus on activities of firms and the behavior of consumers rather than the broader concept of a market and its associated institutions, processes, and outcomes (Shaw & Jones, 2005). Moreover, in contrast to products, services, personal interactions, and other elements of the market that are experienced by consumers as identifiable entities, markets are abstractions, which are experienced only indirectly though the elements associated with them (Ruiz, 2012).

There are defenders of markets and market economies in both economics (cf. Friedman, 2016; Sowell, 2011) and marketing (cf. Gaski, 2013; Ringold, 2006). However, when addressing significant social problems the role of markets is rarely addressed, especially by marketers. As Gaski (2013) observes: "… managers are not experts at discerning what course of action would best fulfill the greater public interest." This is unfortunate because marketing, writ large, has much to contribute to the solutions of society's needs and problems and, indeed, marketing's roots as a discipline lie in addressing the most fundamental of social needs, how a society provides for its needs.

The present paper offers empirical evidence that modern markets and by implication, contemporary marketing practices, have substantially contributed to improvements in the welfare of consumers and society more broadly. Indeed, markets have worked so well that they are most likely to receive attention only when they fail on some dimension. The paper also observes the often synergistic, and sometimes dysfunctional effects of markets and government in contributing to consumer welfare. The papers suggests that marketing makes a unique contribution to consumer welfare through its expertise in value delivery. Finally, the paper calls for greater research on the role of markets in improving consumer welfare and offers an agenda to guide such research.

2 | THE ADVENT OF MARKETING: URBANIZATION, AFFLUENCE, AND QUALITY OF LIFE

The efficient and effective movement of goods and services from producers to consumers is a complex task, especially in a context of diverse consumer preferences. Contemporary marketing emerged in response to the need to address the complexity associated with moving goods from production centers to concentrations of consumers (Wilkie & Moore, 1999). Indeed, Smith and Lobo (2019) argue that modern cities are economic entities in contrast to older cities, which were political centers.

The marketing discipline developed about 120 years ago in response to a specific social phenomenon, urbanization. As the 20th century began, people began to leave the farm and move to cities in large numbers. As a result, supply and demand were no longer co–located. Figure 1 provides an illustration of global urbanization. As the figure makes clear, contemporary

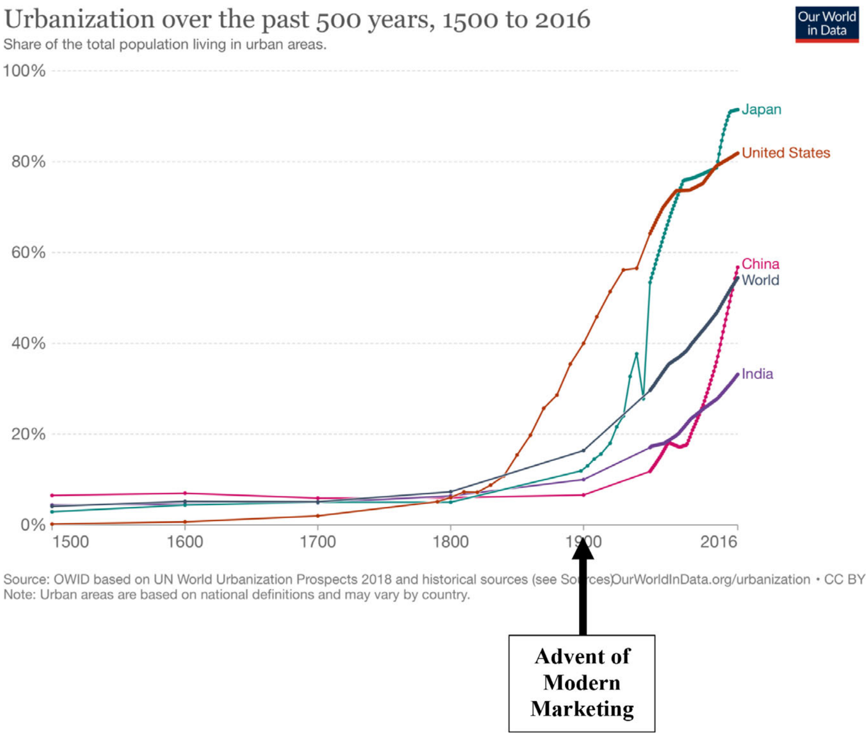

FIGURE 1 Urbanization over the past 500 years, 1500 to 2016. OWID based on UN World Urbanization Prospects 2018 and historical sources. Published online at OurWorldInData.org. Retrieved from: https://ourworldindata.org/urbanization [Online Resource]

marketing emerged at about the same time as the increase in urbanization in the United States, and, indeed, modern adoption of marketing practices tended to follow urbanization in other countries around the global.

The separation of supply and demand that accompanied urbanization created a need to develop new systems, institutions, networks, and relationships to match supply with demand. Much of the early marketing literature focused on institutions and processes that could effectively and efficiently deliver value to consumers (Jones & Monieson, 1990). These new systems and institutions were made all the more complex by a second social trend that also began at the beginning of the 20th century, the increase in the diversity of consumer preferences that accompanied the rise in global affluence. Figure 2 provides an illustration of the increase in global affluence that has been coincident with urbanization and the advent of contemporary marketing practice.

Affluence, complemented by the availability of discretionary resources, provided a means for consumers to express their individuality by purchasing products that matched their personal preferences. People living in poverty also have individual preferences, but the ability to express these preferences is constrained by the absence of discretionary income. Consumers' ability to express personal preferences increases the diversity of demand and, therefore, the complexity of the matching task in the market. The matching task is no longer one of delivering a commodity product to an indiscriminate consumer. Rather, the task is one of matching differentiated products to unique consumer segments of the market. This complexity has the benefit of creating

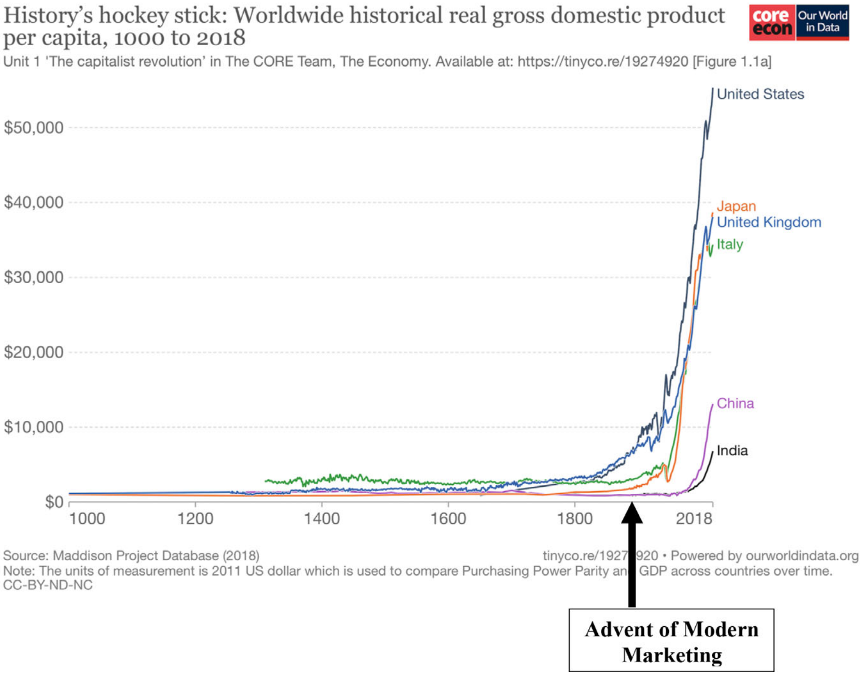

FIGURE 2 History's hockey stick: Worldwide historical real gross domestic product per capita, 1000 to 2018. *Source*: Madison Project Database (2018), History's hockey stick: Worldwide historical real gross domestic product per capita (1000–2016). Published online at OurWorldInData.org. Retrieved from: https://ourworldindata.org/grapher/historys-hockey-stick-worldwide-historical-gross-domestic-product-percapita-1990 [Online Resource]

work, jobs, that, in turn, increases affluence. Thus, a virtuous cycle emerged that fed increases in affluence over time and across the global, as Figure 2 makes clear. While this virtuous cycle is not solely attributable to marketing, there is no doubt that it played an important role.

Since their advent contemporary markets and marketing practices have had a major impact on almost every measure of the quality of life. Figure 3 illustrates the improvement in social and consumer welfare that has occurred since the advent of modern marketing. This Figure shows global improvements over time in such diverse areas as poverty, education, and health care, and this progress has continued into recent decades. For example, the World Bank estimates that more than one billion people have been taken out of extreme poverty in the past 30 years (*The Economist*, 2017).

The enormous improvements in the quality of life, across the globe, that are coincident with the development of modern market cannot be ignored. The degree to which marketing practices have contributed to this progress can be debated, but it is not possible to dismiss the role of marketing as a facilitator. Many problems remain and there is still ample room for improving social welfare and the quality of life. Markets do fail. However, greater attention to the role of marketing as a contributor to consumer welfare is likely to be instructive. Indeed, Wilkie and Moore (2003, 2012) have observed that issues related to marketing's contributions to the larger society was a central focus of early scholars in marketing. A return to that focus, by scholars, managers, and policymakers has the potential to inform issues that have once again become

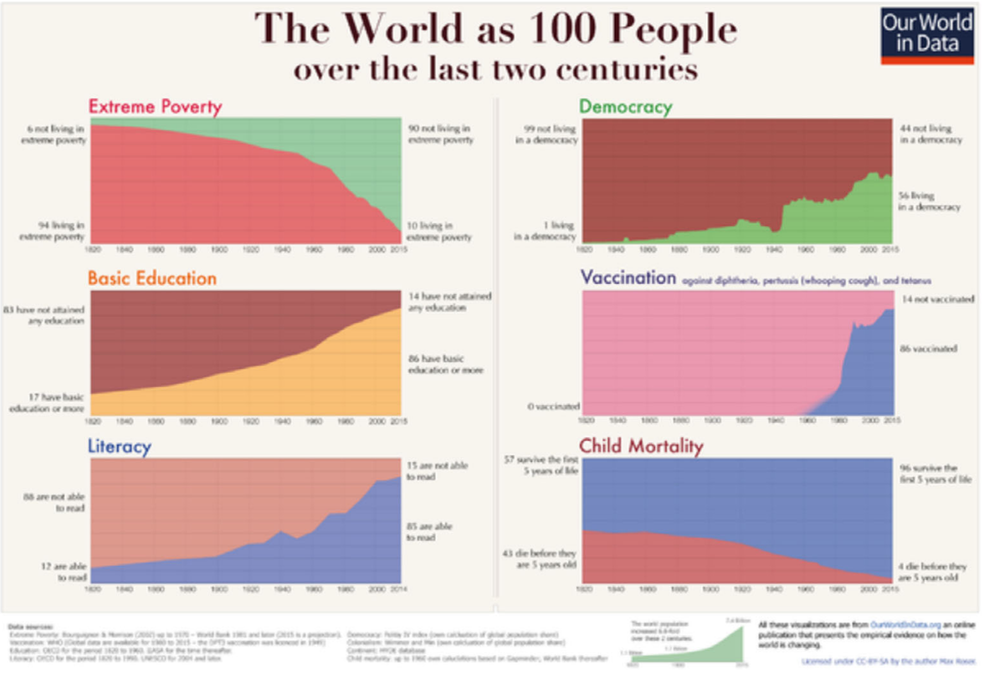

FIGURE 3 The world as 100 people over the last two centuries. Published online at OurWorldInData.org. Retrieved from: https://ourworldindata.org/a-history-of-global-living-conditions-in-5-charts [Online Resource]

paramount in society: organization of supply chains, reductions in poverty, creation of jobs, improvements in health, and enhancements in the quality life, among others.

3 | MARKETS, MARKETING, AND GOVERNMENT

A society that does not provide for the needs of its members cannot long survive, and markets, in some form, have existed in every society. Thus, the question of what promotes the success of markets is an existential question. Markets exist in a larger context alongside other institutions. One of those institutions is government and there is a large literature on the relationship of government and markets. Each provides for some of the needs of a society and its members. Although there is considerable debate about the degree to which government and markets may substitute for one another, virtually every society has included some form of governance structure and some form of market structure. Markets do not work well, if at all, in the absence of services provided by government and even authoritarian governments with command economies include some elements of markets and marketing, for example, distribution, pricing, service delivery, and so forth, in their delivery systems.

A catalogue of the many ways in which marketing and government contribute to (or subtract from) social welfare is beyond the scope of this brief commentary. However, a few suggestions for issues worthy of further investigation may be useful. Markets tend to reward innovation, at least innovation responsive to consumer requirements, and marketing facilitates innovation by making consumers aware of new products and services that better meet their needs. Rewards for useful innovations, that is, innovations that solve a problem or meet customers' needs create accountability for innovators and producers. Such accountability promotes the efficient use of resources and may therefore, improve consumer welfare. Markets built on customer driven choices may increase the quality of life of consumers and also increases the accountability of producers. Producers who provide products and services that are better matches with customer requirements are rewarded, which should result in a better assortment of available products and services. The availability of competitive alternatives is a critical contributor to such accountability because competition creates incentives for innovation and better products services, at least as measured by consumer choice. Embedded within this discussion of innovation, consumer choice, and competition are a host of general questions about the contributions of markets, in general, and about the functioning of specific individual product and service markets, to consumer welfare. There are also important questions about the role of contextual factors in facilitating, impeding, or moderating these contributions.

One of the more important contextual factors when considering the contribution of markets and marketing to consumer welfare is the role of government. The role of government can range from no involvement in markets at all (rare) to efforts to substitute government action for all marketing activities in a command-and-control economy. In reality, the role(s) of government are usually defined between these two extremes and the specific role of government frequently varies from market to market. For this reason, most discussions of markets inevitably include a treatment of the role of government. The robust literature on marketing and public policy is an indicator of the complementary nature of markets and government, and of marketing and policy making.

3.1 | Interactions of markets and government

Although often take for granted, an important role of government is the protection of the safety and security of the members of a society and the institutions, such as markets, within it. Enforcement of the rule of law is required to protect the functioning of markets. A very salient and current example of this requirement for security is found in the closure, change in hours of operation, and/or increased prices of numerous retail establishments in a variety of American cities in response, at least in part, to unpoliced theft and/or harassment of other patrons (Zilber, 2022).[1] In many markets the rule of law extends beyond physical safety and security and includes such things as protection of property rights and enforcement of contracts.

Government also plays a critical role in proving public goods, such as national defense and infrastructure, where markets are not effective or efficient for providing for goods and services that should be generally available to all members of a society. Public goods, such as roads, ports, and airports, among other things, often enable the operation of markets by facilitating the movement of goods, services, and people. Public goods may also include government funded research and development that promotes innovation and government support of education and workforce development.

There is, however, debate about what should be in the basket of public goods and the means for delivering them. Indeed, some market mechanisms are often employed in the actual delivery of public goods. For example, private contractors are often used to complete infrastructure projects. Governments are also generally less effective and efficient in meeting needs that are more idiosyncratic and individualized. Governments tend to work best when delivering a single solution, or small number of solutions, to relatively homogeneous aggregations of individual preferences across a large number of people. As preferences become more heterogenous, resource constraints and political considerations make it difficult for governments to be responsive to idiosyncratic preferences. Figure 4 provides a stylized illustration of the relationship between government, markets, and the provision of goods and services within a society. Government tends to work best when providing public goods that meet common needs, while markets work best in serving more individualized preferences. There is a large "murky middle" where much political debate occurs regarding the appropriate roles of markets and governments. This is a ripe area for research.

The context in which the relationships of markets and governments is most often addressed in the marketing literature is that of the regulation of markets. This is the context on which most marketing research at the intersection of marketing and public policy tends to focus. Markets do fail, at least in the short term. Markets fail when it is not possible to make one person better off without making someone else worse off, thus indicating inefficiency. Of course, governments also fail. Governments, or government regulations, fail when an intervention is unwarranted because markets are performing well or when the intervention fails to efficiently correct a market problem. There is a general bias in the published marketing and public policy literature toward focusing on market failure and market regulation. Such a focus is not inappropriate, but in the context of consumer welfare it must be balanced by a focus on how to make successful markets work better and on government failure Indeed, a greater focus on the impact of government on markets and consumer welfare is especially important when the public loses faith in government (Pew Research Center, 2017).

In much of the world governments have limited accountability. Even within democracies such as the United States there is broad skepticism regarding the accountability of government (Pew Research Center, 2017). Market inefficiencies can be created by government action and market failures can be facilitated by government. Government failures arise and are more difficult to correct than market failures because they arise in a political context (Devarajan, 2018). Governments can also be dangerous. Rummel (1994) offers a sobering account of the deaths caused by governments during the 20th century, either deliberately or though gross incompetence in unsuccessfully attempting to provide for the basic needs of a society. Businesses can also do harm, but they can rarely do so at the scale available to government. Thus, from a consumer welfare perspective, it is important to consider the role of markets in a government context and examine specific government policies and actions with an eye to identification of intended and unintended general consequences for society at large.

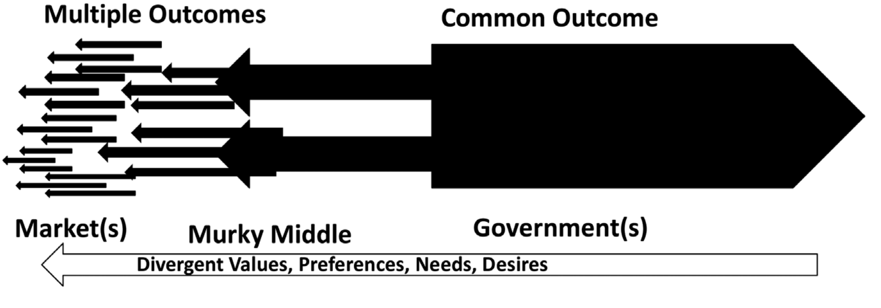

FIGURE 4 Multiple outcomes and common outcome

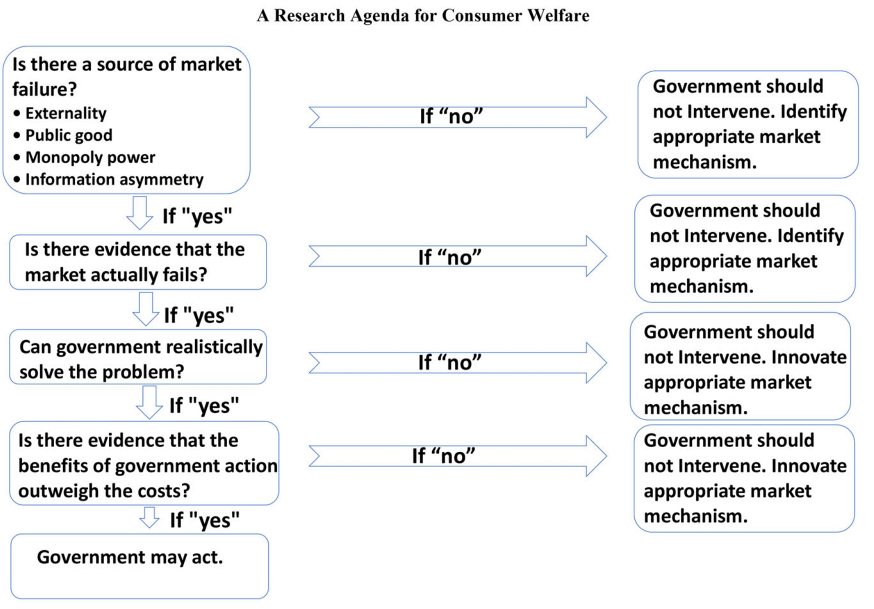

FIGURE 5 A research agenda for consumer welfare

4 | A RESEARCH AGENDA

Marketing and consumer researchers have much to contribute to an understanding of consumer welfare. They bring an important and unique perspective to this domain: a view of consumer welfare through the lens of markets and marketing. As noted in the earlier discussion, markets have worked remarkably well over the past century as the quality of life and consumer welfare have improved dramatically on a global basis. The published research in marketing and on consumer behavior is strong and as good as that of any social science. However, attention to consumer behavior and research methodology has come at the expense of the domain that is marketing's historical core competence, the design and management of value delivery systems. The discussion that introduced this paper makes very clear that these systems have been enormously successful in improving consumer welfare. Research on consumer behavior and research methodology are important enablers for designing, managing, and improving the institutions and processes that constitute value delivery systems. But the raison d'etre for the marketing discipline is the design and management of value delivery systems. Marketers and marketing researchers would improve their impact and influence by returning to a greater focus on value delivery systems, or, as Hunt (2020) has suggested "re-institutionalizing" marketing.

Marketing's contribution to consumer welfare and to the solution of important social problems lies in bringing its unique perspective to these issues, that is, examination of these issues through the lens of how a society provides for itself and the role that markets, and government, play in such provisioning. As a starting point, the market and marketing perspective begins with the premise that social problems arise from the failure of a market or markets. The first order question then becomes whether there is an identifiable reason that a given social issue or problem is the result of a market failure, and if so, what the potential causes and characteristics of such failure might be. The second order question is whether there is an actual market failure. Of course, not all problems reside in the market, but a useful starting point is the market, especially when adopting a market lens. Markets and marketing may still play a role in potential solutions, but this requires a reframing of the problem.

If the answer to either of the first two questions is “no,” an appropriate follow up would be ask why the problem exists and whether there might be an appropriate market mechanism for addressing or at least contributing to a solution to the observed problem. There are clearly many reasons a particular social issue might exist, but from the perspective provided by a marketing lens it is important to determine whether market failure or the absence of a market mechanism may be at work. It is also useful to note that another name for a new market solution is business opportunity.

If there is a market failure then a solution may be sought. A common approach to market failure is government intervention or regulation. Such intervention may be appropriate, but it is important to determine whether the focal problem is the result of market failure and whether any intervention or regulation really addresses the causal reason for the market failure. And, there is a need to carefully identify and evaluate whether the benefits of intervention outweigh the costs. Much of the research in the marketing and public policy arena has tended to focus on government intervention and regulation, but most often at a tactical level, for example, design of labels, restrictions on use, and so forth. Such research is useful, but it often focuses narrowly on a “solution” rather than the broader problem and context. Marketing has much more to contribute by focusing on the broader delivery system(s) within which needs, and problems exist. Figure 5 provides an illustration of a marketing lens for examining social issues.

5 | CONCLUSION

The objective of this paper is not to criticize current marketing and consumer research and similar contributions to understanding consumers, marketing practices, and potential improves in consumer welfare. Neither is there an intent to advance a position regarding the relatively efficacy of markets and governments in providing for society's needs. Rather, this paper is call for a return to marketing's historical expertise in the design of value delivery systems and for more research on and efforts to apply that expertise to broader social problems and consumer welfare. It argues that markets and marketing have worked well in addressing the needs of society and in advancing consumer welfare. Such success suggests that marketing has much to contribute in the future, just as it has in the past. A market–driven research agenda for examining consumer welfare, social problems, and the general quality of life is offered a guide for future research and discussion. This agenda seeks to energize and focus the unique expertise of marketing toward improving consumer welfare and raising the quality of life of all consumers.

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CONFLICT OF INTEREST

The author has no conflicts of interest related to the development and publication of this paper.

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ENDNOTE

[1] There are numerous reasons retailers are closing that are not related to crime. However, there is no doubt that crime is a contributing factor in some closures.

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